

Will cheap PCs end Microsoft monopoly?

Microsoft's software monopoly is running out of time, says open-source guru Eric Raymond, and he's got a precise figure for when the company's position will no longer be sustainable—\$350. "When the price of a PC falls below \$350, Microsoft will no longer be viable. The reason is that if you sell something below that price, you



can't afford to pay royalties to Microsoft and still make money." Prices are falling in the PC market, and it isn't difficult to imagine buying a computer for about the same price as a DVD player before long, he said. Ultimately, the commoditisation of PCs and the shift to the Internet will make Microsoft's relatively expensive software obsolete, Raymond argues.

Creative re-enters graphics market

Creative Technology has had a change of mind and is all set to re-enter the graphics market. Creative aims to do this by taking over California-based 3Dlabs, of which it already owns 28 per cent, in a \$103.7 million bid.

This decision comes two years after the PC peripheral manufacturer announced that it would be reverting to its flagship audio business and stepping out of the graphics market.

According to Creative CEO Sim Won Hoo, the reason for this move was to develop graphics cards for the mid-to-high-end gaming market. 3Dlab's Oxygen and Wildcat graphics cards are widely sold to workstation manufacturers such as Sun Microsystems, IBM, Compaq and Hewlett Packard. New graphics cards carrying 3Dlabs chips are expected to be released toward the year-end.

According to Woo, "3Dlabs' chips have a highly scalable architecture, which allows for the creation of a family of graphics cards to target new markets. The technology can be scaled down to meet the requirements of game console makers." He cited Nintendo, Sony and Microsoft as potential partners.

Not just a Flash in the pan

For most surfers, Flash is what decorates Web sites and makes them worth visiting. With Flash MX, Macromedia wants to provide a one-stop resource for designing Web pages. The upgrade expands the role of Flash's initial function as animation software. The ubiquity of the Flash

player on PCs has made it hard for would-be competitors to gain any ground, and Macromedia plans expanded tools for delivering Web applications.

It is in the midst of a far-reaching campaign to include the Flash player in all manner of Internet-connected devices.

The promised results include business Web sites that will be substantially easier for customers to navigate and cheaper for businesses to maintain.

The shift of Flash from eye candy to an application platform comes in the wake of losses in the last few quarters.

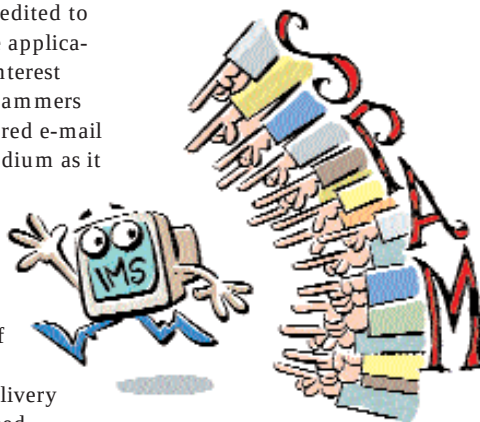
Spam scares IM users

Spam attacks on instant messengers (IMs) are raising questions about the future of one of the fastest-growing applications on the Internet. Although still uncommon, it is becoming prevalent—some IM users are inundated with a seemingly unstoppable marketing deluge.

New applications such as Massmess and ICQ Interest Search have caused a surge in technologically sophisticated junk instant messages. MassMess claims to have unleashed more than 10 million unsolicited commercial messages on Yahoo! Messenger users. A steady barrage of

spam on ICQ is credited to the \$99 shareware application, called ICQ Interest Search (ICQIS). Spammers have long considered e-mail their preferred medium as it costs little or nothing to produce. Its processes are automated, and despite an array of defences aimed at shutting it out, delivery is almost guaranteed.

IMs may be just as susceptible—they offer sufficient convenience and vulnerability to raise the spectre of a major new front in the spam war. A fair witness of this



deluge has been the decrease in users of ICQ. According to Jupiter Media Metrix, it fell to 8.4 million users from 9 million users, over a period of 12 months.

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